

CARDHOLDER REBUTTAL — CHARGEBACK FX SHORTFALL

Response to American Express's position of June 11, 2026 — for CFPB Complaint #260611-34004878

Cardholder:	William J. Marceau
Email:	wmarceau@marceausolutions.com
Account:	AmEx Blue Business Cash, ending 21007 (employee card 21049)
AmEx Cases:	D-93497818 (card 1007) / D-93497819 (card 1049) & Reason Code 4553
Merchant:	Propane Fitness Ltd, Newcastle, UK (Co. 07779096)
Amount owed:	\$2,271.66 USD (foreign-exchange conversion shortfall)
Date:	Thursday, June 11, 2026

CORE POSITION

This is a billing-error dispute under the Fair Credit Billing Act and Regulation Z (12 C.F.R. §1026.13). American Express resolved it in my favor **as a dispute under reason code 4553 (“not as described”) — not a voluntary merchant refund** — and credited the £6,300 principal. Because it was resolved through the dispute/chargeback process, **American Express, not the merchant, converted the reversal to U.S. dollars**. It posted my charge at **\$1.3511/£** but the reversal at an implied **\$1.00/£ parity rate**, leaving **\$2,271.66** of the \$8,741.76 it originally posted uncredited. Regulation Z requires American Express to restore me to the position I would have occupied absent the disputed charge — i.e., to credit the full amount it posted. On June 11, 2026, a supervisor (Michael, ID 7273100) instead refused to credit the \$2,271.66, directed me to a merchant “refund completion form,” and claimed declining it would breach my merchant contract. That instruction is an improper delegation of American Express's own Regulation Z duty, and each position is refuted below.

1. RESOLVED AS A DISPUTE (CODE 4553), NOT A VOLUNTARY REFUND — AMEX CONTROLS THE CONVERSION

The dispute documentation on file carries American Express **reason code 4553** and consists of the merchant's **representment (chargeback-defense) filings** arguing the “chargeback... is invalid.” Reason codes and representments exist only inside the dispute/chargeback process; a voluntary merchant refund has neither. American Express therefore **reversed the charge against the merchant in GBP and credited me on my USD account** — meaning the GBP→USD conversion of the reversal was American Express's own act, not the merchant's. This is confirmed in American Express's own online activity: the original charge posts as **\$4,255.97** and the settlement credit posts, same merchant, as **−\$3,150.00** labeled “Credit.”

American Express applied **two different rates to the same transaction**: it converted the charge at **\$1.3511/£** and the reversal at **\$1.00/£**. A **\$1.00/£ parity rate** has never existed in the foreign-exchange market. The merchant's liability was fixed in pounds (£3,150 per card); only American Express converts that to dollars. Directing me to obtain the remainder from the merchant is inconsistent with the chargeback American Express itself processed.

2. DECLINING THE MERCHANT FORM DOES NOT BREACH ANY CONTRACT

American Express is not a party to my contract with the merchant and has no standing to enforce the merchant's terms against me; my dispute rights arise under my Cardmember Agreement and the federal Fair Credit Billing Act. Independently, the merchant's own contract defeats this argument:

(a) The contract's own terms exempt statutory rights.

The merchant's no-chargeback clause (§7.5) and mandatory-process clause (§12.5(B)) each carve out their own application. §12.5(B) states the procedure **“does not apply to... statutory rights that cannot be waived by agreement,”** and §7.3 limits refund exclusions to those **“save as provided by law.”** A UK consumer's right to a remedy

for a service not-as-described or misrepresented (Consumer Rights Act 2015; Misrepresentation Act 1967) is a non-waivable statutory right. By the contract's own language, the anti-chargeback terms do not reach my claim.

(b) The merchant breached first and withheld the very process now demanded.

§12.5(A) required the merchant to acknowledge and substantively respond within 7 days; §7.4 required it to **provide the refund-request form "on request."** I raised a refund on the merchant's own platform with my assigned coach on **March 4**, then sent formal written refund demands on **March 6, 7, 12, and 13, 2026, each copied to admin@propanefitness.com**. The merchant did not provide its refund form until **March 16** — the same time the dispute registered with American Express — and the salesperson who collected the £6,300 replied only: *"This has nothing to do with me, mate."* A merchant that withholds its own refund process cannot condition my refund on that process.

(c) American Express already adjudicated entitlement.

Having credited the £6,300, American Express has already determined I was entitled to a refund. It cannot grant a partial recovery and then route the currency remainder — a remainder **its own conversion created** — back to a merchant I have already won a chargeback against.

(d) American Express cannot delegate its Regulation Z duty.

Directing me to a merchant "refund completion form" to recover a credit that American Express's own conversion withheld is an improper attempt to shift its billing-error obligation onto the merchant and onto me. Under Regulation Z (12 C.F.R. §1026.13), the duty to investigate and correct the billing error rests on the card issuer, not the cardholder, and must be completed within two billing cycles. I did not accept any merchant remedy and was not offered a valid one — the merchant withheld its own refund form until March 16 — so any suggestion that I failed to mitigate or accepted a merchant resolution is contrary to the record.

3. THE UNDERLYING CHARGEBACK IS VALID — ON THE MERCHANT'S OWN DOCUMENTS

The misrepresentation is established by the merchant's own filings, not my recollection. The salesperson's closing email promised:

*"Dedicated 1-2-1 coach for 12 weeks. Private thread for messages, voice notes, feedback and **calls** to customise the process to your business."*

The merchant's Terms then define that same "one-on-one" service as a messaging channel ("voice notes, document reviews, messages") plus recurring group "coaching clinics... via Zoom." The merchant's chargeback rebuttal nonetheless claims I received **"Individual Zoom calls"** and **"accessed all services"** — yet the same filing includes, as the merchant's own Exhibit E, my contemporaneous March 4 messages:

"it does not show me any available live calls or the ability to access the content" · "it really seems like I just got scammed."

The merchant filed both the claim and the proof it is false. The chargeback was correctly resolved in my favor; what remains is solely American Express's currency-conversion shortfall.

4. THE AMOUNT — RECONCILED TO THE PENNY

	Per Card	Both Cards
Propane charge (Mar 2, posted by AmEx @ \$1.3511/£)	\$4,255.97	\$8,511.94
Foreign-transaction fee	\$114.91	\$229.82
TOTAL CHARGED	\$4,370.88	\$8,741.76
AmEx credit — principal (reversal posted @ \$1.00/£)	-\$3,150.00	-\$6,300.00
AmEx credit — partial FX fee	-\$85.05	-\$170.10

TOTAL CREDITED	-\$3,235.05	-\$6,470.10
SHORTFALL STILL OWED	\$1,135.83	\$2,271.66

My entire current statement balance (\$2,234.81, June 10 statement) is composed of this unrefunded amount: \$2,271.66 uncredited dispute, less \$36.85 net of all other activity. Crediting \$2,271.66 brings the account to zero.

5. QUESTIONS AMERICAN EXPRESS MUST ANSWER IN WRITING

1. Was the £6,300 credit issued as a dispute resolution in which American Express debited the merchant, or as a voluntary merchant refund? The reason-code-4553 representment filings indicate the former, meaning American Express controlled the currency conversion.
2. At what exchange rate and on what date was the £6,300 reversal converted to USD, and on what basis was it \$1.00/£ when the charge was posted at \$1.3511/£?
3. If the position is that the merchant short-remitted, produce documentation of what the merchant actually submitted.
4. Why were the foreign-transaction fees only partially reversed (\$85.05 of \$114.91 per card) — an American Express-side figure regardless of the merchant?

6. RESOLUTION REQUESTED

Post a corrective credit of **\$2,271.66** to cases D-93497818 and D-93497819 **as a Regulation Z billing-error correction**, restoring my account to the position it would have occupied absent the disputed charge (full credit of the \$8,741.76 originally posted), with written confirmation. Alternatively, provide a written denial citing the specific rule under which a £3,150 charge posted at \$1.3511/£ may be refunded at a \$1.00/£ parity rate. I am not completing any merchant form, am not withdrawing either case, and continue to pay the statement minimum without waiving this dispute.

Respectfully submitted,

William J. Marceau

wmarceau@marceausolutions.com · Naples, Florida · June 11, 2026